

products, took upon a whole new identity and pivoted its business model to 10-minute grocery delivery in December 2021. It then went on a growth spurt, opening hundreds of dark stores across the country and pumped millions into establishing the required infrastructure. Predictably, the model wasn't sustainable and within weeks, it closed down services in many areas where it couldn't fulfil its promised 10-minute delivery. The cash burn was such that the company was forced to shut down many of its dark stores and lay off workforce within months.

Zomato's decision to fold Blinkit under its wing seems more like corrective action for an investment gone awry than a well-thought-out plan. A \$100-million investment in August 2021, which Zomato had said was 'purely financial', changed to a merger sooner than expected as Blinkit started bleeding profusely and was looking to raise funds from new investors. Goyal, in his February blog post, rationalised the investment with Blinkit's \$450-million annual run rate GMV (January 2022 annualised) and spread of 400+ dark stores across 20 cities. However, how long will the company foot the cash-bleeding quick commerce business? Will the acquisition help Zomato compete with Swiggy on an even footing? It won't be easy.

FOOD AS A category offers higher margins, but grocery's repeatability can bring about economies of scale faster. Swiggy, with an 'everything delivery' approach focussed on the neighbourhood convenience economy, seems to be nearing market maturity faster than Zomato's dedicated food ecosystem play. According to a report by consulting firm RedSeer, e-grocery will be a \$21-

25 billion market in 2025 while the market size of food delivery will just be about half of it at \$12.8 billion.

"The GMV that our food delivery business achieved in 40 months, took Instamart just 17 months, demonstrating the platform benefits of Swiggy. We will double down on this to build more categories in line with our mission of offering unparalleled convenience to Indian consumers. Our goal is to make Swiggy the platform that 100 million consumers can use 15 times a month," a Swiggy spokesperson said in an email response to a questionnaire from BT.

'What to order' in grocery is well defined—households know what they need and have a budget for grocery. The 'when to order' is the difficult question as there are no standard routines to grocery and other household needs. Most are unplanned and impulsive purchases. So, quick delivery services are effectively addressing the 'when' element for the unplanned needs.

"Instant grocery delivery business today is where food delivery was four or five years ago. They are trying to capture the market and change user behaviour. Deliveries are more or less free. Margins are lower than food. A lot of capital is spent on setting up infrastructure, stocking SKUs and maintaining inventory. The segment is growing at a much faster pace than food," says Amit Nawka, Partner for Deals & Start-ups Leader at PwC India.

Adds Mohit Gulati, CIO & Managing Partner of ITI Growth Opportunities Fund: "Convenience is valued and people are willing to pay, meaning we have some maturity in the market finally, which also directly translates into the take-home salaries of the riders because the more deliveries they do, the more they get incentivised. Gross-level profitability in grocery can be made very quickly. If any of



"Average eating out in urban India has grown from 2-3 times to about 8-10 times a month. In comparison, most advanced markets in Southeast Asia average about 30+ times a month... It could become 20-25 times a month in select urban geographies or localities [in India]"

K.S. NARAYANAN
ADVISOR TO FOOD
AND BEVERAGE COMPANIES



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